

# Existing Home Sales Fall Back in January

## Poor Weather Weighs on Resales to Start the Year

Economic Indicator

Economist(s)



[Charlie Dougherty](#)



[Ali Hajibeigi](#)

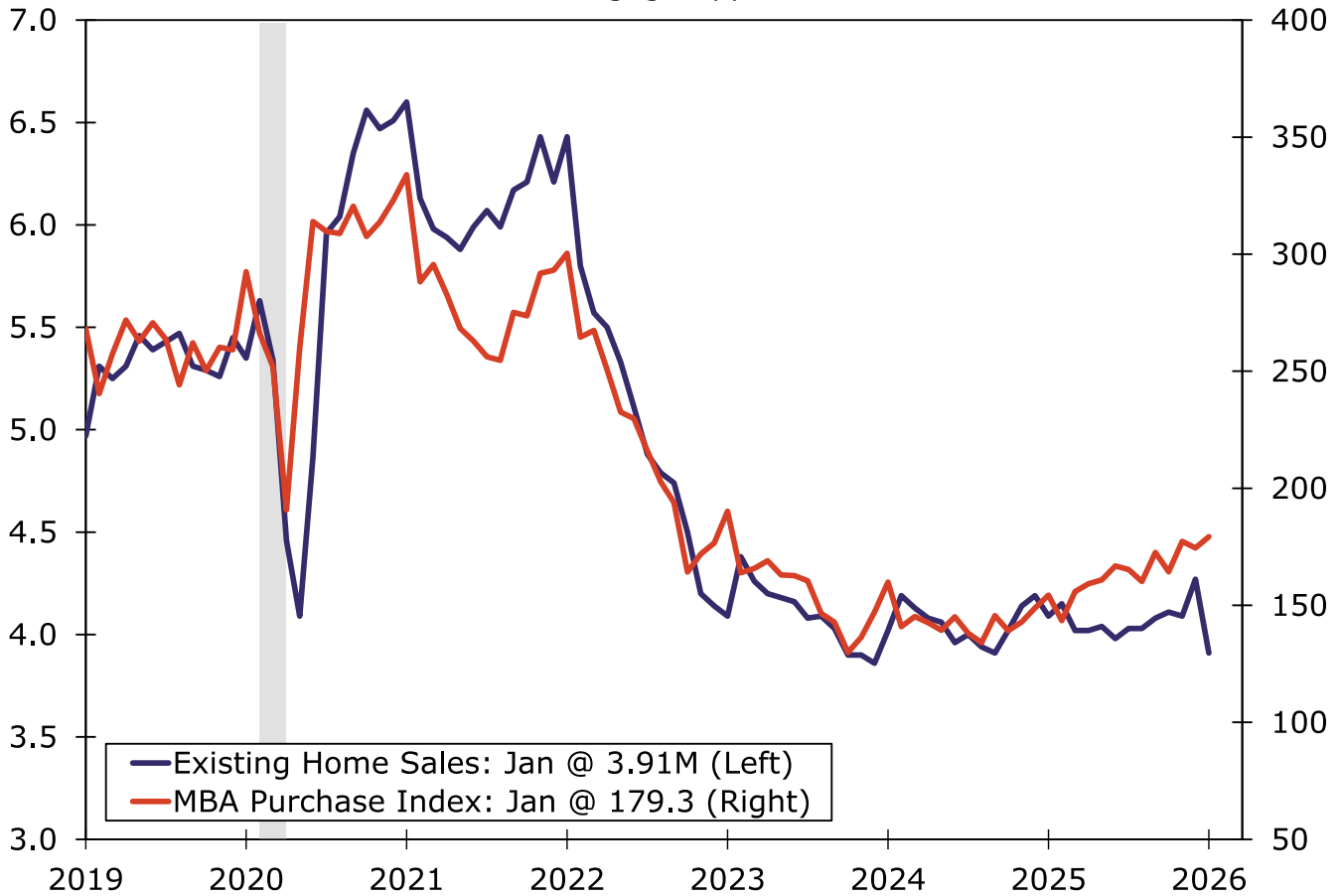
### Summary

#### Affordability Still a Significant Constraint Despite Recent Improvements

- Existing home sales fell 8.4% to 3.91 million unit pace in January. The monthly drop in part looks owed to poor weather across much of the nation which likely discouraged activity.
- Beyond the monthly volatility, the trend in home sales looks to be gradually improving. [Mortgage purchase applications](#) continue to slowly glide higher, suggesting a recovery from January's drop over the coming months.
- The recent uptrend in resales has been driven primarily by lower mortgage rates. Average 30-year mortgage rates have declined to 6.1% as of the first week of February from roughly 7% at the start of 2025. However, rates have essentially moved sideways so far in 2026. We do not [expect mortgage rates](#) to fall much further and expect a range between 6.10%-6.20% to prevail over the next several years.
- Still, the roughly 80 bps reduction in financing costs has helped improve affordability conditions around the margins.
- Easing home price appreciation is another support. [Median prices](#) were up just 0.9% in January, much more modest than in recent years.
- Low supply is still keeping home price appreciation in positive territory, however. [Unsold inventory](#) was 1.22 million in January, down 0.8% over the month. Inventory is up 3.4% over the past year, but availability no longer appears to be increasing rapidly and is still far below pre-pandemic averages, implying moderate home price appreciation ahead.
- All told, we continue to anticipate resales to post only modest growth (off a very low level) over the next few months as slightly lower mortgage rates, easing home price appreciation and slightly better income growth improve affordability around the margins. A meaningful improvement in affordability (and return to a strong run-rate on sales) still looks far off in the distance.

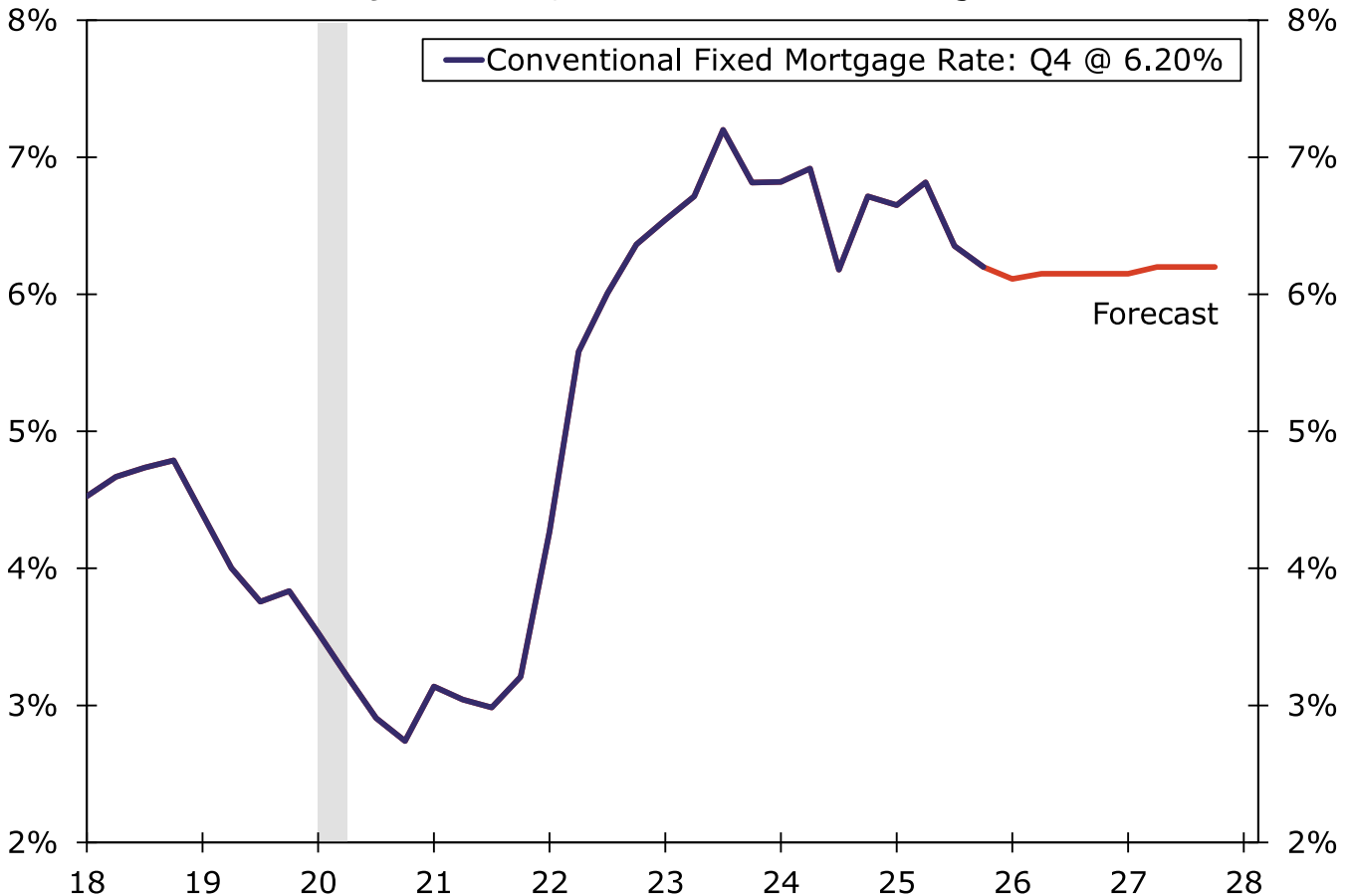
# Existing Home Sales

SAAR, In Millions; Mortgage Applications for Purchase



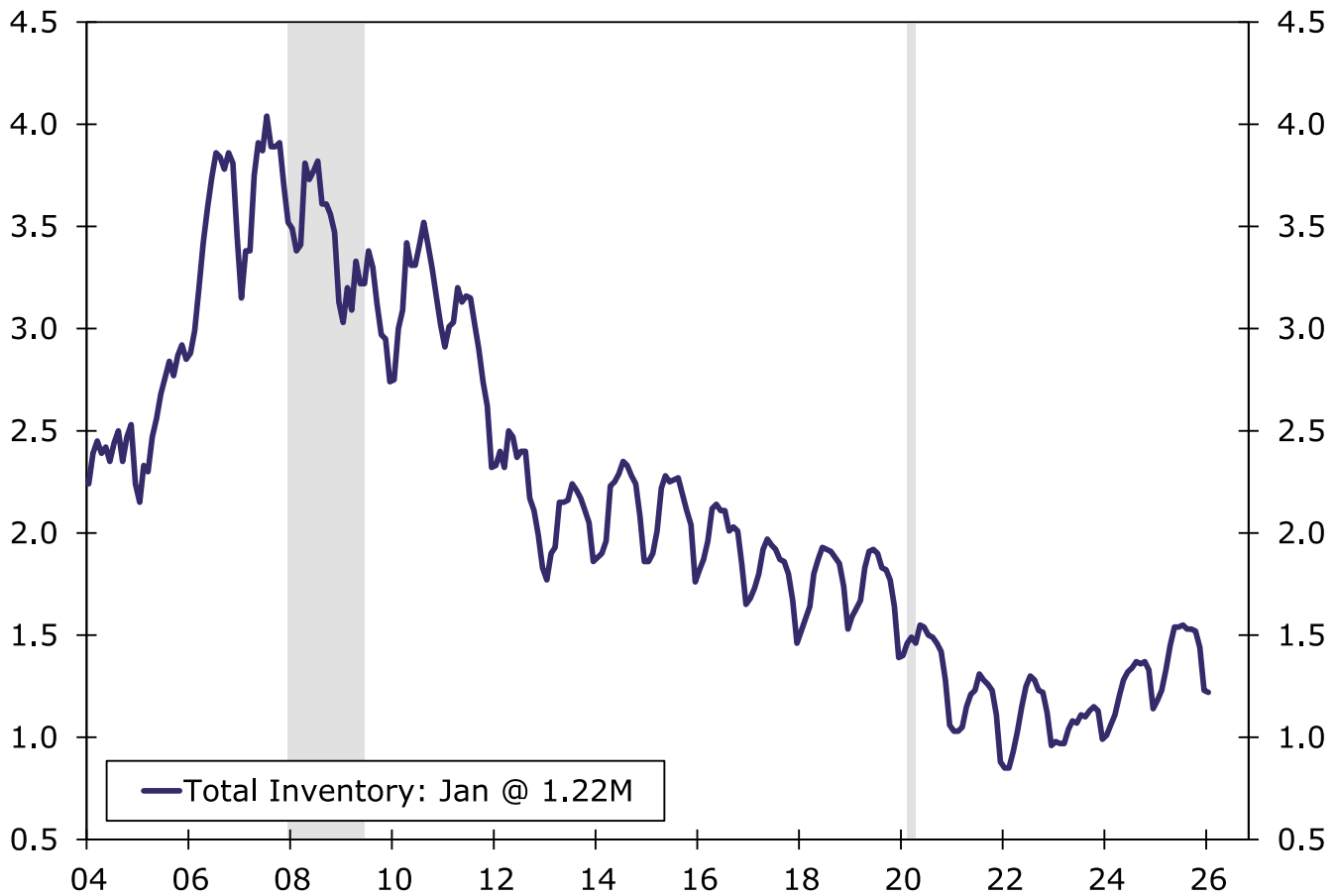
# Mortgage Rate Forecast

Quarter-End , 30-Year Fixed Rate Average



# Existing Home Sales: Total Inventory

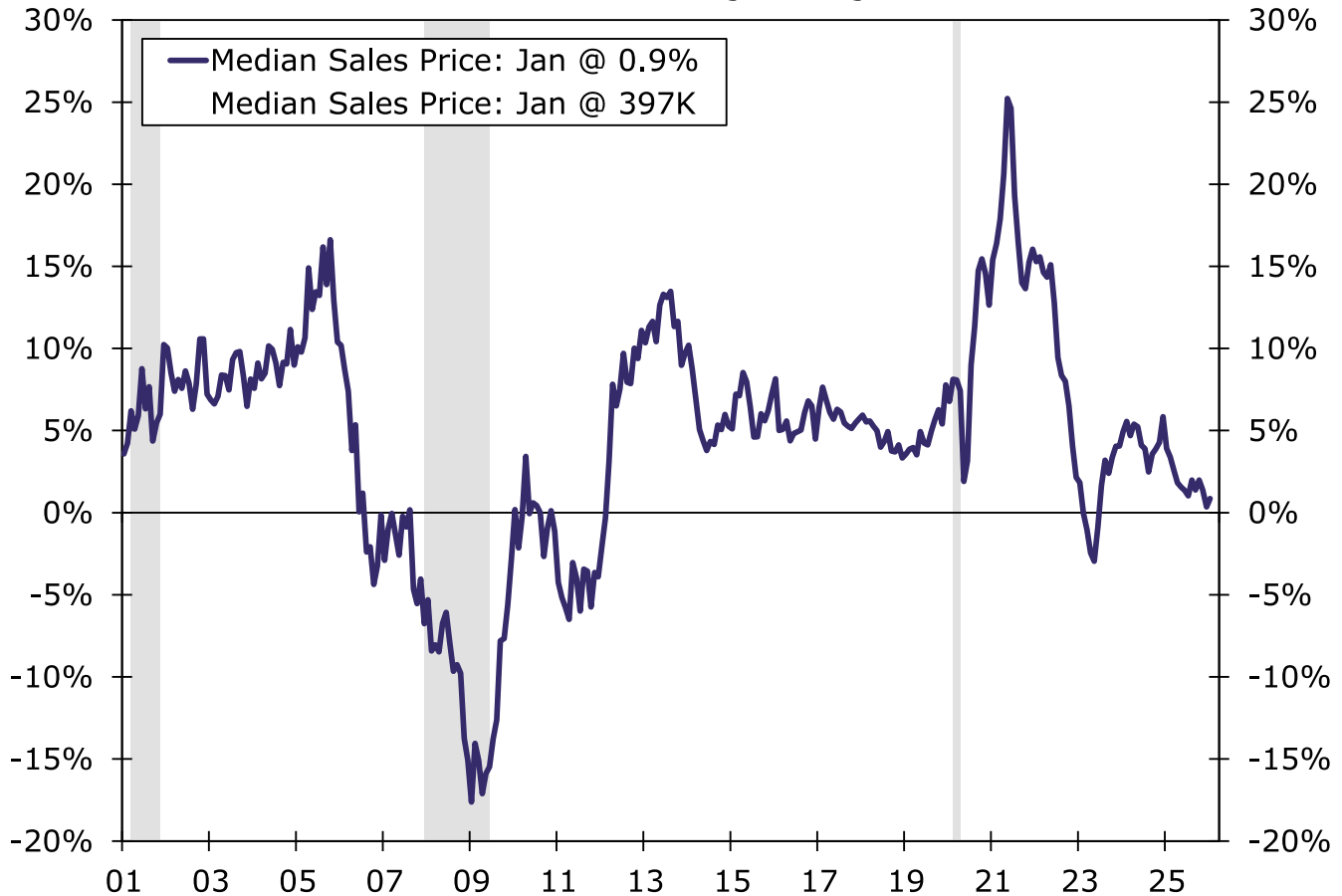
In Millions



Source: NAR and Wells Fargo Economics

# Median Existing Home Price

Year-over-Year Percentage Change, NSA



Source: NAR and Wells Fargo Economics

Economics Group

|                   |                         |              |                                   |
|-------------------|-------------------------|--------------|-----------------------------------|
| Tom Porcelli      | Chief Economist         | 212-214-6422 | Tom.Porcelli@wellsfargo.com       |
| Tim Quinlan       | Senior Economist        | 704-410-3283 | Tim.Quinlan@wellsfargo.com        |
| Sarah House       | Senior Economist        | 704-410-3282 | Sarah.House@wellsfargo.com        |
| Charlie Dougherty | Senior Economist        | 212-214-8984 | Charles.Dougherty@wellsfargo.com  |
| Michael Pugliese  | Senior Economist        | 212-214-5058 | Michael.D.Pugliese@wellsfargo.com |
| Brendan McKenna   | International Economist | 212-214-5637 | Brendan.Mckenna@wellsfargo.com    |
| Jackie Benson     | Economist               | 704-410-4468 | Jackie.Benson@wellsfargo.com      |
| Shannon Grein     | Economist               | 704-410-0369 | Shannon.Grein@wellsfargo.com      |
| Nicole Cervi      | Economist               | 704-410-3059 | Nicole.Cervi@wellsfargo.com       |
| Delaney Conner    | Economic Analyst        | 704-374-2150 | Delaney.Conner@wellsfargo.com     |
| Ali Hajibeigi     | Economic Analyst        | 212-214-8253 | Ali.Hajibeigi@wellsfargo.com      |
| Azhin Abdulkarim  | Economic Analyst        | 212-214-5154 | Azhin.Abdulkarim@wellsfargo.com   |
| Anagha Sridharan  | Economic Analyst        | 704-410-6212 | Anagha.Sridharan@wellsfargo.com   |
| Andrew Thompson   | Economic Analyst        | 704-410-2911 | Andrew.L.Thompson@wellsfargo.com  |

All estimates/forecasts are as of 2/12/2026 unless otherwise stated. 2/12/2026 11:19:57 EST.

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